Company No : 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.

(Incorporated in Malaysia)

FINANCIAL STATEMENTS

31 DECEMBER 2023

CHOOK & CO
CHARTERED ACCOUNTANTS

Company No : 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

FINANCIAL STATEMENTS

31 DECEMBER 2023

CONTENTS **PAGES**

• Corporate Information	2
• Directors' Report	3-7
• Statement by Directors and Statutory Declaration	8
• Report of the Auditors	9-11
• Statement of Financial Position	12
• Statement of Comprehensive Income	13
• Statement of Changes in Equity	14
• Statement of Cash Flows	15
• Notes to the Financial Statements	16-28

Company No : 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

CORPORATE INFORMATION

DIRECTORS	Low Chan Phan Suhendra Arianto
SECRETARIES	Jocyelina Geraldine Tan (MAICSA7007873) (Resigned on 1.11.2023) Lim Li Heong (MAICSA7054716) (Appointed on 1.11.2023) Wong Mee Kiat (MAICSA7058813) (Appointed on 1.11.2023)
AUDITORS	Chook & Co Chartered Accountants Unit No. L13A-03-03A PJX-HM Shah Tower, No. 16A, Persiaran Barat, 46050 Petaling Jaya, Selangor
REGISTERED OFFICE	Level 5, Tower 8, Avenue 5, Horizon 2, Bangsar South City 59200, Kuala Lumpur
BANKERS	CIMB Bank Berhad Maybank Islamic Berhad

Company No : 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The Directors hereby submit their report together with the audited financial statements of the Company for the financial year ended 31 December 2023.

PRINCIPAL ACTIVITY

The Company is principally engaged as a global business services centre providing information technology outsourcing such as Software Development, IT Helpdesk/Tech Support, Testing and Quality Assurance, Business Management and Integration and Application Development and Maintenance.

There has been no significant change in the nature of this activity during the financial year under review.

FINANCIAL RESULTS

	RM
Profit for the year	124,627

DIVIDENDS

No dividend has been paid or declared since the end of the previous year.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions except as disclosed in the financial statements.

SHARES AND DEBENTURES

The Company did not issue any new share or debenture during the year.

SHARE OPTIONS

No options have been granted by the Company to any party during the year to take up unissued shares of the Company.

No shares have been issued during the year by virtue of the exercise of any option to take up unissued shares of the Company. As of the end of the year, there were no unissued shares of the Company under options.

DIRECTORS

The directors of the Company in office at any time during the year or since the end of the year are :

Low Chan Phan
Suhendra Arianto

DIRECTORS' BENEFITS

During and at the end of the year, no arrangements subsisted to which the Company is a party, with the object or objects of enabling directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

Since the end of the previous year, no director has received or become entitled to receive a benefit (other than a benefit included in the aggregate amount of remuneration received or due and receivable by the directors shown in the financial statements or the fixed salary of a full-time employee of the Company) by reason of a contract made by the Company or a related corporation with the director or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

DIRECTORS' INTERESTS

According to the register of directors' shareholdings under section 59 of the Companies Act, 2016, the interests of directors in office at the end of the year in the ordinary shares of the Company during the year are as follows :

	Number of Ordinary Shares			
	At 1.1.2023	Bought	Sold	At 31.12.2023
Low Chan Phan	71,100	-	4,000	67,100
Suhendra Arianto	19,000	-	-	19,000

DIRECTORS' REMUNERATION

The amounts of the remuneration of the directors or past directors of the Company comprising remuneration received/receivable from the Company during the year are as follows :

	2023
	RM
Directors' remuneration	518,000

The estimated money value of other benefits received or receivable by the directors otherwise in cash from the Company during the year is NIL (2022 : NIL).

Total amount paid to or receivable by any third party in respect of the services provided to the Company by the directors or past directors of the Company during the year is NIL (2022 : NIL)

INDEMNIFYING DIRECTORS, OFFICERS OR AUDITORS

No indemnities have been given or insurance premiums paid, during or since the end of the year, for any person who is or has been the director, officer or auditor of the Company.

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps :

(a) to ascertain that proper action had been taken in relation to the writing -off of bad debts and the making of allowance for doubtful debts, and have satisfied themselves that all known bad debts had been written-off and that adequate allowance had been made for doubtful debts ; and

(b) to ensure that current assets which were unlikely to be realised at their book values in the ordinary course of business have been written down to their estimated realisable values.

OTHER STATUTORY INFORMATION (Cont'd)

As at the date of this report, the directors are not aware of circumstances :

(a) which would render the amount written off for bad debts or the amount of the allowance for doubtful debts inadequate to any substantial extent in the financial statements of the Company ; or

(b) which would render the values attributed to current assets in the financial statements of the Company misleading ; or

(c) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Company misleading or inappropriate ; or

(d) not otherwise dealt with in this report or financial statements which would render any amount stated in the financial statements of the Company misleading.

As of the date of this report, there does not exist :

(a) any charge on the assets of the Company which has arisen since the end of the year and secures the liability of any other person ; or

(b) any contingent liability of the Company which has arisen since the end of the year.

No contingent or other liability has become enforceable, or is likely to become enforceable, within the period of twelve months after the end of the year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

In the opinion of the directors :

(a) the results of the operations of the Company during the year were not substantially affected by any item, transaction or event of a material and unusual nature.

(b) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the year and the date of this report which is likely to affect substantially the results of operations of the Company for the year in which this report is made.

AUDITORS' REMUNERATION

The total amount of auditors' remuneration is as follow :

	2023
	RM
Statutory audit	7,500

Company No : 201501005176 (1130506-W)

AUDITORS

The auditors, Messrs. Chook & Co., have expressed their willingness to continue in office.

On behalf of the Board,

SUHENDRA ARIANTO
Director

LOW CHAN PHAN
Director

Petaling Jaya, Selangor
Dated : 0 6 MAY 2024

Company No : 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS

(PURSUANT TO SECTION 251 (2) OF THE COMPANIES ACT, 2016)

We, **LOW CHAN PHAN** and **SUHENDRA ARIANTO,** being the directors of **MANDRILL TECH SDN.BHD.**, do hereby state that, in the opinion of the directors, the accompanying statement of financial position as at 31 December 2023 and the related statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the year ended, together with the notes thereto, give a true and fair view of the state of affairs of the Company as at 31 December 2023 and of the results of its operations and the cash flows of the Company for the year then ended, and have been drawn up in accordance with Malaysian Private Entities Reporting Standards and the Companies Act, 2016.

On behalf of the Board,

SUHENDRA ARIANTO
Director

LOW CHAN PHAN
Director

Petaling Jaya, Selangor
Dated : 0 6 MAY 2024

STATUTORY DECLARATION

(PURSUANT TO SECTION 251 (1) (b) OF THE COMPANIES ACT, 2016)

I, **LOW CHAN PHAN,** being the director primarily responsible for the financial management of **MANDRILL TECH SDN. BHD.**, do solemnly and sincerely declare that the accompanying statement of financial position of the Company as at 31 December 2023 and the related statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the year ended, together with the notes thereto are, to the best of my knowledge and belief correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed **LOW CHAN PHAN** at Petaling Jaya in Selangor Darul Ehsan on 0 6 MAY 2024)

LOW CHAN PHAN
Director

Before me,

PESURUHJAYA SUMPAH
NO. B 536
AZLINI BINTI NORDIN
01 JAN 2020 - 31 DIS 2026
MALAYSIA

Commissioner for Oaths

No. 21A, 1st Floor,
Jalan GS6/12,
Kelana Jaya,
47301 Petaling Jaya,
Selangor Darul Ehsan

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A Firm Registered with the Malaysian Institute of Accountants

CHOOK & CO
CHARTERED ACCOUNTANTS
(AF1339)
Unit No. L13A-03-03A
PJX-HM Shah Tower
No. 16A, Persiaran Barat
46050 Petaling Jaya, Selangor
Tel: 603-79320501, Fax: 603-79320503
Email: chook@megahsec.com

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of MANDRILL TECH SDN. BHD., which comprise the statement of financial position as at 31 December 2023 and the statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the financial year then ended, including a summary of significant accounting policies and other explanatory notes, as set out on the accompanying pages.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2023, and its financial performance and its cash flows for the year then ended in accordance with Malaysian Private Entities Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

Emphasis of matter

Without qualifying our opinion, we draw attention to Note 2 to the financial statements that the financial statements have been prepared on a going concern basis which contemplates the realisation of assets and the settlement of liabilities in the normal course of business. The Company has incurred losses resulting in net equity deficiency position. The ability of the Company to continue as a going concern is dependent on future profitable operations and its ability to secure additional financing as and when they fall due. The directors are of the opinion that the Company has financial resources to continue as a going concern.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants including International Independence Standards ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the Directors' Report but does not include the financial statements of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Company does not cover the Directors' Report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the Directors' Report and, in doing so, consider whether the Directors' Report is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of the Directors' Report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Private Entities Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of the users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also :

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we have identified during our audit.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act, 2016 in Malaysia and for no other purpose. We do not assume responsibilities to any other person for the content of this report.

CHOOK & CO.
(NO : AF 1339)
CHARTERED ACCOUNTANTS

CHOOK KIM HOE
CHARTERED ACCOUNTANT
(NO: 02096/11/2024 J)

Petaling Jaya, Selangor
Dated: 06 MAY 2024

Company No: 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2023

	Notes	2023	2022
		RM	RM
NON-CURRENT ASSETS			
Property , plant and equipment	4	2,507,702	1,404,158
Investments in associates	5	-	45,000
Intangible asset	6	3,570	-
		2,511,272	1,449,158
CURRENT ASSETS			
Trade and other receivables	7	2,445,793	1,355,089
Current tax assets		57,497	23,142
Cash and cash equivalents	8	74,192	54,727
		2,577,482	1,432,958
TOTAL ASSETS		5,088,754	2,882,116
EQUITY/(DEFICIENCY) ATTRIBUTABLE TO OWNERS OF THE COMPANY			
Share capital	9	100,100	100,100
Accumulated loss		(169,934)	(294,561)
NET EQUITY DEFECIENCY		(69,834)	(194,461)
NON-CURRENT LIABILITIES			
Bank borrowings	10	1,972,923	1,787,285
Lease liabilities	11	708,190	-
		2,681,113	1,787,285
CURRENT LIABILITIES			
Trade and other payables	12	1,521,871	838,116
Bank borrowings-current portions	10	784,461	437,008
Lease liabilities - current portions	11	171,143	14,168
		2,477,475	1,289,292
TOTAL LIABILITIES		5,158,588	3,076,577
NET EQUITY DEFICIENCY AND LIABILITIES		5,088,754	2,882,116

The accompanying notes form an integral part of these financial statements.

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	2023	2022
		RM	RM
REVENUE	3.3	11,164,844	5,953,204
Direct costs		(9,686,658)	(5,808,994)
GROSS PROFIT		1,478,186	144,210
Other income/(charges)		(125,144)	3
Administrative expenses		(1,074,837)	(1,396,256)
PROFIT/(LOSS) FROM OPERATIONS		278,205	(1,252,043)
Finance costs		(153,578)	(175,731)
PROFIT/(LOSS) BEFORE TAXATION	13	124,627	(1,427,774)
Income tax expense	14	-	(7,482)
PROFIT/(LOSS) FOR THE YEAR		124,627	(1,435,256)
OTHER COMPREHENSIVE INCOME		-	-
TOTAL COMPREHENSIVE INCOME/(LOSS) FOR THE YEAR		124,627	(1,435,256)
Profit/(loss) attributable to owners of the Company		124,627	(1,435,256)

The accompanying notes form an integral part of these financial statements.

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2023

	Attributable to Owners of the Company		
	Share Capital	Accumulated Loss	Total
	RM	RM	RM
As at 1 January 2022	100,100	1,140,695	1,240,795
Total comprehensive loss for the year	-	(1,435,256)	(1,435,256)
As at 31 December 2022	100,100	(294,561)	(194,461)
As at 1 January 2023	100,100	(294,561)	(194,461)
Total comprehensive income for the year	-	124,627	124,627
As at 31 December 2023	100,100	(169,934)	(69,834)

The accompanying notes form an integral part of these financial statements.

Company No: 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	2023 RM	2022 RM
Cash flows from/(used in) operating activities :			
Profit/(loss) before taxation		124,627	(1,427,774)
Adjustments for :			
Bad debts written off		16,854	850,000
Waiver of debts		129,946	-
Amortization of intangible asset		30	-
Loss on disposal of investments in associates		44,998	-
Depreciation of property , plant and equipment		149,517	64,695
Interest expense		153,578	175,731
Operating profit/(loss) before working capital changes		619,550	(337,348)
Working capital changes :			
Decrease/(increase) in trade and other receivables		(1,237,504)	939
Increase in trade and other payables		683,755	692,564
Cash generated from operations		65,801	356,155
Tax paid		(34,358)	(41,624)
Tax refund		3	-
Interest paid		(153,578)	(175,731)
Net cash from/(used in) operating activities		(122,132)	138,800
Cash flows from/(used in) investing activities :			
Cash paid for purchase of property, plant and equipment	4	(344,061)	(21,299)
Proceeds from disposal of investments in associates		2	11,020
Purchase of intangible asset		(3,600)	-
Net cash used in investing activities		(347,659)	(10,279)
Cash flows from/(used in) financing activities :			
Increase/(decrease) in bank borrowings		533,091	(256,791)
Repayments of lease liabilities		(43,835)	(21,218)
Net cash from/(used in) financing activities		489,256	(278,009)
Net changes in cash and cash equivalents		19,465	(149,488)
Cash and cash equivalents brought forward		54,727	204,215
Cash and cash equivalents carried forward	8	74,192	54,727

The accompanying notes form an integral part of these financial statements.

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023

1 GENERAL INFORMATION

The Company, Mandrill Tech Sdn. Bhd., is a private limited company incorporated and domiciled in Malaysia.

The Company is principally engaged as a global business services centre providing information technology outsourcing such as Software Development, IT Helpdesk/Tech Support, Testing and Quality Assurance, Business Management and Integration and Application Development and Maintenance.

There has been no significant change in the nature of this activity during the financial year under review.

The Company's registered office is located at Level 5, Tower 8, Avenue 5, Horizon 2, Bangsar South City, 59200, Kuala Lumpur. The principal of business is at A-18-5, The Vertical Business Suite, Tower A, Avenue 3, No. 8, Jalan Kerinchi, 59200 Bangsar South, Kuala Lumpur.

The financial statements of the Company are presented in Ringgit Malaysia (RM).

The financial statements were authorised for issue by the Board of Directors on 6 May 2024.

2 BASIS OF PREPARATION

The financial statements of the Company have been prepared in compliance with the Malaysian Private Entities Reporting Standards (MPERS) issued by the Malaysian Accounting Standards Board (MASB) and the provisions of the Malaysian Companies Act 2016.

BASIS OF PREPARATION (Cont'd)

The financial statements of the Company have been prepared under the historical cost convention except as otherwise stated in the financial statements.

The preparation of these financial statements requires the directors to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenue and expenses and disclosure of contingent assets and contingent liabilities. In addition, the directors are also required to exercise their judgement in the process of applying the accounting policies. Although these estimates and assumptions are based on the directors' best knowledge of events and actions, actual results could differ from those estimates. There are no significant areas of estimation uncertainty and critical judgements in applying accounting policies that have significant effect on the amounts recognised in the financial statements except as stated below :

The financial statements have been prepared on a going concern basis which contemplates the realisation of assets and settlement of liabilities in the normal course of business. The Company has incurred losses resulting in net equity deficiency position. The ability of the Company to continue as a going concern is dependent on future profitable operations and its ability to secure additional financing as and when they fall due. The directors are of the opinion that the Company has financial resources to continue as a going concern.

3 SIGNIFICANT ACCOUNTING POLICIES

3.1 Property, Plant and Equipment

Operating tangible assets that are used for more than one accounting period in the production and supply of goods and services, for administrative purposes or for rental to others are recognised as property, plant and equipment when the Company obtains control of the assets. The assets , including major spares, servicing equipment and stand-by equipment, are classified into appropriate classes based on their nature. Any subsequent replacement of a significant component in an existing asset is capitalised as a new component in the asset and the old component is derecognised.

All property, plant and equipment are initially measured at cost. For a purchased asset, cost comprises purchase price plus all directly attributable costs incurred in bringing the asset to its present location and condition for management's intended use. For a self- constructed asset, cost comprises all direct and indirect costs of construction (including provision for restoration and cost of major inspection) but excludes internal profits.

All property, plant and equipment are subsequently measured at cost less accumulated depreciation and accumulated impairment losses.

Property, Plant and Equipment (Cont'd)

All property, plant and equipment are depreciated by allocating the depreciable amount of a significant component or of an item over the remaining useful life. The depreciation methods used and the useful lives of the respective classes of property, plant and equipment are as follows :

	Method	Useful life (years)
Furniture and fittings	Straight-line	10
Office equipment	Straight-line	10
Renovation	Straight-line	10
Motor vehicles	Straight-line	5
Software development (work-in-progress)	-	-
Software programmes	Straight-line	10
Office building	Straight-line	50
Computers and software	Straight-line	5

At the end of each reporting period, the residual values, useful lives and depreciation methods for the property, plant and equipment are reviewed for reasonableness. Any change in estimate of an item is adjusted prospectively over its remaining useful life, commencing in the current period.

3.2 **Associates**

The Company recognises an associate based on the criterion of significant influence. Significant influence exists when the Company has the power to participate in the financial and operating policy decisions of the investee but has no control or joint control of those policies. This is normally (though not necessarily) accomplished when the Company holds 20 percent or more of the voting rights of the investee.

3.3 **Revenue Recognition and Measurement**

The Company measures revenue from a service transaction at the fair value of the consideration received or receivable , which is usually the invoice price, net of any trade discounts given to a customer in a service transaction.

Revenue from a service transaction is recognised when : (a) the amount of the revenue can be measured reliably; (b) it is probable that the economic benefits associated with the transaction will flow to the Company ; and (c) the costs incurred or to be incurred in respect of the transaction can be measured reliably.

3.4 **Tax Assets and Tax Liabilities**

A current tax for current and prior periods, to the extent unpaid, is recognised as a current tax liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as current tax asset. A current tax liability (asset) is measured at the amount the Company expects to pay (recover) using tax rates and laws that have been enacted or substantially enacted by the reporting date.

Tax Assets and Tax Liabilities (Cont'd)

A deferred tax liability is recognised for all taxable temporary differences, except to the extent that the deferred tax liability arises from (a) the initial recognition of goodwill or (b) the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit (or tax loss). The exceptions for initial recognition differences include items of property, plant and equipment that do not qualify for capital allowances and acquired intangible assets that are not deductible for tax purposes.

A deferred tax asset is recognised for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised, unless the deferred tax asset arises from the initial recognition of an asset or liability in a transaction that is not a business combination and at the time of transaction, affect neither accounting profit nor taxable profit (or tax loss). The exceptions for the initial recognition differences include non-taxable government grants received and reinvestment allowances and investment tax allowances on qualifying property, plant and equipment.

A deferred tax asset is recognised for the carry-forward of unused tax losses and unused tax credits to the extent that it is probable that the future taxable profit will be available against which the unused tax losses and unused tax credits can be utilised. Unused tax credits do not include unabsorbed reinvestment allowances and unabsorbed investment tax allowances as these are part of initial recognition differences.

Deferred taxes are measured using tax rates (and tax laws) that have been enacted or substantially enacted by the end of the reporting period. The measurement of deferred taxes reflect the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities.

At the end of each reporting period, the carrying amount of a deferred tax asset is reviewed, and is reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of a part or all of that deferred tax asset to be utilised. Any such reduction will be reversed to the extent that it becomes probable that sufficient taxable profit will be available.

A current or deferred tax is recognised as income or expense in profit or loss for the period. For items recognised directly in equity, the related tax effect is also recognised directly in equity.

3.5 Impairment of Non-Financial Assets

An impairment loss arises when the carrying amount of a Company's asset exceeds its recoverable amount.

At the end of each reporting date, the Company assesses whether there is any indication that a stand-alone asset or a cash-generating unit may be impaired by using external and internal sources of information. If any such indication exists, the Company estimates the recoverable amount of the asset or cash-generating unit.

Impairment of Non-Financial Assets Cont'd)

If an individual asset generates independent cash inflows, it is tested for impairment as a stand-alone asset. If an asset does not generate independent cash inflows, it is tested for impairment together with other assets in a cash-generating unit, at the lowest level in which independent cash inflows are generated and monitored for internal management purposes.

The recoverable amount of an asset or a cash generating unit is the higher of its fair value less costs to sell and the value in use. The Company determines the fair value less costs to sell of an asset or a cash-generating unit in a hierarchy based on : (i) price in a binding sale agreement ; (ii) market price traded in an active market ; and (iii) estimate of market price using the best available information. The value in use is estimated by discounting the net cash inflows (by an appropriate discount rate) of the asset or unit, using reasonable and supportable management's budgets and forecasts of five years and extrapolation of cash inflows for periods beyond the five-year forecast or budget.

For an asset measured on a cost-based model, any impairment loss is recognised in profit or loss.

For a cash generating unit, any impairment loss is allocated to the assets of the unit pro rata based on the relative carrying amounts of the assets.

The Company reassesses the recoverable amount of an impaired asset or a cash-generating unit if there is any indication that an impairment loss recognised previously may have reversed. Any reversal of impairment loss for an asset carried at a cost-based model is recognised in profit or loss, subject to the limit that the revised carrying amount does not exceed the amount that would have been determined had no impairment loss been recognised previously.

3.6 Employee Benefits

The Company recognises a liability when an employee has provided service in exchange for employees benefits to be paid in the future and an expense when the Company consumes the economic benefits arising from service provided by an employee in exchange for employee benefits.

(a) Short-Term Employee Benefits

Wages and salaries are accrued and paid on a monthly basis and are recognised as an expense.

Paid absences (annual leave, maternity leave, sick leave, ect) are accrued in each period if they are accumulating paid absences that can be carried forward, or in the case of non-accumulating paid absences, recognised as and when the absences occur.

(b) Post-Employment Benefits-Defined Contribution Plans

The Company makes statutory contributions to approved provident funds and the contributions made are charged to profit or loss in the period to which they relate. When the contributions have been paid, the Company has no further payment obligations.

3.7 Borrowing Costs

Borrowing costs of the Company consist of bank borrowings interest and finance lease interest calculated using the effective interest method. All borrowing costs are recognised as an expense when incurred.

3.8 Financial Instruments

(a) Initial Recognition and Measurement

The Company recognises a financial asset or financial liability (including derivative instruments) in the statement of financial position when, and only when, it becomes a party to the contractual provisions of the instrument.

A financial instrument is recognised initially at the transaction price (including transaction costs except in the initial measurement of a financial asset or financial liability that is measured at fair value through profit or loss) unless the arrangement constitutes, in effect, a financing transaction, the financial asset or financial liability is measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Debt instruments that are classified as current assets or current liabilities are measured at the undiscounted amount of the cash or other consideration expected to be paid or received unless the arrangement constitutes, in effect, a financing transaction.

All other financial assets or financial liabilities not measured at amortised cost or cost less impairment are measured at fair value with changes recognised in profit or loss.

(b) Derecognition of Financial Instruments

A financial asset is derecognised when, and only when, the contractual rights to receive the cash flows from the financial asset expire, or when the Company transfers the contractual rights to receive cash flows of the financial asset, including circumstances when the Company acts only as a collecting agent of the transferee, and retains no significant risks and rewards of ownership of the financial asset or no continuing involvement in the control of the financial asset transferred.

For this purpose, the Company considers a modification as substantial if the present value of the revised cash flows of the modified terms discounted at the original effective interest rate differs by 10% or more when compared with the carrying amount of the original liability.

(c) Impairment and Uncollectibility of Financial Assets

At the end of each reporting period, the Company examines whether there is any objective evidence that a financial asset or a group of financial assets is impaired.

Any impairment loss is recognised in profit or loss and a corresponding amount is recorded in a loss allowance account. Any subsequent reversal of impairment loss of the financial assets is reversed in profit or loss with a corresponding adjustment to the loss allowance account, subject to the limit that the reversal should not result in the revised carrying amount of the financial asset exceeding the amount that would have determined had no impairment loss been recognised previously.

3.9 Share Capital and Distributions

(a) Share Capital

Ordinary shares and non-redeemable preference shares issued that carry no put option and no mandatory contractual obligation (i) to deliver cash or another financial asset or (ii) to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the Company, are classified as equity instruments.

When ordinary shares and other equity instruments are issued in a private placement or in a rights issue to the existing shareholders, they are recorded at the issue price. For ordinary shares and other equity instruments issued in exchange for non-monetary assets, they are measured by reference to the fair values of the assets received.

When ordinary shares and other equity instruments are issued as consideration transferred in a business combination or as settlement of an existing financial liability, they are measured at their value at the date of the exchange transaction.

Transaction costs of an equity transaction are accounted for as a deduction from equity, net of any related income tax effect.

(b) Distributions

Distributions to holders of an equity instrument are recognised as equity transactions and are debited directly in equity, net of any related income tax effect.

4 PROPERTY, PLANT AND EQUIPMENT

	Furniture and fittings	Office equipment	Renovation	Motor vehicles	Software development (work in progress)	Software programmes	Office building	Computers and software	Total
	RM	RM	RM	RM	RM	RM	RM	RM	RM
2023									
Cost									
As at 1.1.2023	26,218	252,655	89,776	-	25,950	10,000	1,245,091	17,879	1,667,569
Addition	-	846	-	1,060,728	-	-	-	191,487	1,253,061
As at 31.12.2023	26,218	253,501	89,776	1,060,728	25,950	10,000	1,245,091	209,366	2,920,630
Accumulated depreciation									
As at 1.1.2023	8,675	98,969	49,713	-	-	4,250	99,608	2,196	263,411
Charge	2,622	25,315	8,978	77,627	-	1,000	24,902	9,073	149,517
As at 31.12.2023	11,297	124,284	58,691	77,627	-	5,250	124,510	11,269	412,928
Net carrying amount	14,921	129,217	31,085	983,101	25,950	4,750	1,120,581	198,097	2,507,702
2022									
Cost									
As at 1.1.2022	26,218	249,235	89,776	-	25,950	10,000	1,245,091	-	1,646,270
Addition	-	3,420	-	-	-	-	-	17,879	21,299
As at 31.12.2022	26,218	252,655	89,776	-	25,950	10,000	1,245,091	17,879	1,667,569
					-				
Accumulated depreciation									
As at 1.1.2022	6,053	73,972	40,735	-	-	3,250	74,706	-	198,716
Charge	2,622	24,997	8,978	-	-	1,000	24,902	2,196	64,695
As at 31.12.2022	8,675	98,969	49,713	-	-	4,250	99,608	2,196	263,411
Net carrying amount	17,543	153,686	40,063	-	25,950	5,750	1,145,483	15,683	1,404,158

4 PROPERTY, PLANT AND EQUIPMENT (Cont'd)

	2023	2022
	RM	RM
Cash paid for purchase of property, plant and equipment	344,061	21,299
Purchase of property, plant and equipment under lease	909,000	-
	1,253,061	21,299

5 INVESTMENTS IN ASSOCIATES

	2023	2022
	RM	RM
Unquoted shares- at cost	-	45,000

6 INTANGIBLE ASSET

	2023	2022
	RM	RM
Acquisition of trademark	3,600	-
Accumulated amortization	(30)	-
	3,570	-

7 TRADE AND OTHER RECEIVABLES

	2023	2022
	RM	RM
Trade receivables	1,028,661	73,694
Amounts due by director	231,021	186,020
Amounts due by affliated companies	1,144,274	1,039,583
Deposits and prepayments	41,837	55,792
	2,445,793	1,355,089

An affiliated company is a company with common management. The amounts due by director and affiliated companies are repayable on demand in cash, unsecured and interest-free.

8 CASH AND CASH EQUIVALENTS

The Company's cash management policy is to use cash and bank balances to manage cash flows to ensure sufficient liquidity to meet the Company's obligations. The components of cash and cash equivalents consist of :

	2023	2022
	RM	RM
Cash and bank balances	74,192	54,727

9 SHARE CAPITAL - no par value shares

	2023	2022
	RM	RM
Issued and fully paid :		
100,100 ordinary shares at issue price of RM 1 each	100,100	100,100

10 BANK BORROWINGS

Bank borrowings (term loans)

	2023	2022
	RM	RM
Non-current bank borrowings :		
Balance at 1 January	1,787,285	1,936,632
Additional during the year	800,000	-
Transfer to current borrowings	(614,362)	(149,347)
Balance at 31 December	1,972,923	1,787,285
Current bank borrowings :		
Balance at 1 January	347,452	347,452
Repayments of term loan instalments	(598,931)	(149,347)
Transfer from non-current borrowings	614,362	149,347
	362,883	347,452
Bank overdraft	421,578	89,556
Balance at 31 December	784,461	437,008
Total borrowings	2,757,384	2,224,293

The Islamic term loans are secured against the Company's office building with interest payable based on Ceiling Profit Rate (CPR) of 10.75 % per annum. The term loans are guaranteed by the directors and assignments of insurance policies.

11 LEASE LIABILITES

Net carrying amount included in the class of property, plant and equipment :

	2023	2022
	RM	RM
Motor vehicles	983,101	-
Office equipment	129,217	153,686
Lease liabilities :		
Future lease payment payables		
Not later than one year	171,143	14,644
More than one year to five years	505,692	-
More than five years	337,538	-
Total future minimum lease payments	1,014,373	14,644
Less : future finance charges	(135,040)	(476)
Present value of minium lease payments	879,333	14,168
Payments due within 12 months as current	(171,143)	(14,168)
Non-current portions of lease liabilities	708,190	-

12 TRADE AND OTHER PAYABLES

	2023	2022
	RM	RM
Trade payables	218,304	66,347
Other payables	1,303,567	771,769
	1,521,871	838,116

13 PROFIT/(LOSS) BEFORE TAXATION

Profit/(loss) before taxation has been determined after charging/(crediting) amongst other items the following :

	2023	2022
	RM	RM
Employee benefits expenses		
- Short-term benefits of salaries	6,583,385	3,707,792
- Defined contribution plans expenses	599,193	391,033
- Directors' remuneration	518,000	315,900
Bad debts written off	16,854	850,000
Waiver of debts	129,946	-
Rental of premises	101,400	94,800
Amortization of intangible asset	30	-
Depreciation of property, plant and equipment	149,517	64,695
Interest expense	153,578	175,731
Audit fees	7,500	5,000
Loss on disposal of investments in associates	44,998	-
Rental income	(49,800)	-

14 INCOME TAX EXPENSE

	2023	2022
	RM	RM
Current income tax expense (taxes payable in Malaysia)	-	-
Underprovision of taxation in prior year	-	7,482
	-	7,482

A reconciliation of income tax expense applicable to profit/(loss) before taxation at the statutory income tax rate to income tax expense at the effective tax rate of the Company is as follows :

	2023	2022
	RM	RM
Profit/(loss) before taxation	124,627	(1,427,774)
Taxation of Malaysian statutory tax rate		
up to RM 150,000 @ 15% (up to RM 600,000 @17% in 2022)	18,694	(102,000)
on the next RM 450,000 @ 17%	-	-
above RM 600,000 @ 24 % (24% in 2022)	-	(198,666)
Expenses not deductible for tax purposes (tax effect)	46,846	19,701
Underprovision of taxation in prior year	-	7,482
Relating to origination of timing differences	(65,540)	280,965
Effective tax expense	-	7,482

As at 31 December 2023, the Company has unabsorbed capital allowances and carry forward tax losses of NIL (RM 65,000 in 2022) and about RM 386,000 (RM 560,000 in 2022) respectively, available for set-off against future taxable income. However, these amounts are subjected to agreement by the Inland Revenue Board.

15 RELATED PARTY TRANSACTIONS

Significant related party transactions are as follows :

	2023	2022
	RM	RM
Sales billed to affiliated companies	583,937	-
Management fees charged to affiliated companies	96,600	-

16 CONTINGENT LIABILITY

As at 31 December 2023, the Company has contingent liability of RM 610,000 (RM 610,000 in 2022) in respect of guarantee issued by Credit Guarantee Corporation Malaysia Bhd.

17 COMPARATIVE FIGURES

The presentation and classification of items in the current year's financial statements have been consistent with the previous financial year.

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 RM	2022 RM
REVENUE	11,164,844	5,953,204
DIRECT COSTS	(9,686,658)	(5,808,994)
GROSS PROFIT	1,478,186	144,210
OTHER INCOME/(CHARGES)		
Interest income	-	3
Rental income	49,800	-
Loss on disposal of investments in associates	(44,998)	-
Waiver of debts	(129,946)	-
	(125,144)	3
ADMINISTRATIVE EXPENSES		
Assessments	3,938	3,976
Audit fees	7,500	5,000
Amortization of intangible asset	30	-
Bank charges	7,565	1,898
Bad debts written off	16,854	850,000
Courier charges	588	138
Consultation fees	30,000	-
Commission	3,000	-
Depreciation of property, plant and equipment	149,517	64,695
Donations	-	500
Entertainment	54,843	4,048
Filing	300	-
Gifts	3,344	9,946
Hiring and recruitment	18,984	22,596
Postage and stamps	222	70
Internet	12,206	10,156
Fire insurance	65	59
Insurance	60,785	900
Late interest	1,865	1
License fees	42,109	35,679

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 RM	2022 RM
Marketing and advertising	1,692	5,766
Miscellaneous	237	-
Office supplies	16,663	4,988
Office lot expenses	872	1,750
Penalties	-	1,927
Petrol, parking and toll	34,948	5,370
Printing and stationery	13,091	4,985
Professional services	10,768	35,547
Rental of premises	101,400	94,800
Repair and maintenance	1,050	28,311
Repair and maintenance - office	(1,502)	12,588
Repair and maintenance - office equipment	1,471	414
Road tax	3,248	-
Hire of computers	94,680	59,599
Hire of office equipment	4,398	-
Referral fees	60,398	3,500
Sinking fund	693	631
Secretarial services	-	512
Stamp duty	15,875	2,559
Staff training	2,569	65
Subscriptions	74,306	12,219
Support and maintenance	648	648
Server fees	67,310	14,109
Overseas travelling	-	7,312
Travelling	7,703	8,654
Upkeep of motor vehicles	33,517	-
Share incentive	12,330	2,206
Staff medical	34,101	26,567
Visa fees	5,388	707
Staff welfare	18,491	22,596
Water dispenser	1,284	1,177
Water and electricity	15,836	12,225
Quit rent	37	37
Work permit and visa	27,620	14,825
	(1,074,837)	(1,396,256)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2023

	2023 RM	2022 RM
PROFIT/(LOSS) FROM OPERATIONS	278,205	(1,252,043)
FINANCE COSTS		
Term loans interest	145,302	172,035
Bank overdraft interest	5,221	1,117
Finance lease interest	3,055	2,579
	(153,578)	(175,731)
PROFIT/(LOSS) BEFORE TAXATION	124,627	(1,427,774)